



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ECONOMICS
PAPER 3 Essays

6073/3
3 hours

JUNE 2025 SESSION

Additional materials:
Answer booklet

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces provided on the answer booklet provided.

Answer any **four** questions.

Write your answers on the separate answer booklet provided.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

This question paper consists of 3 printed pages.

Copyright: Zimbabwe School Examinations Council, J2025.

EZIMSIC J2025

Turn over



Answer any four (4) questions

- 1 (a) Explain how a mixed economy answers the three basic economic questions. [12]
- (b) Planned economies are viewed as the best economic system in allocating resources. Discuss. [13]
- 2 Evaluate the relevance of the elasticity of demand concepts to the clothing industry in your country. [25]
- 3 (a) Explain how a rational consumer allocates his income among goods and services. [10]
- (b) Analyse the differences between normal and inferior goods, using the substitution and income effects. [15]
- 4 (a) Explain the following concepts.
 - (i) abnormal profits
 - (ii) normal profits
 [10]
- (b) Discuss the view that profit maximising firms are always efficient. [15]
- 5 (a) Describe the factors that influence the supply of labour. [10]
- (b) Discuss the effects of trade unions in a labour market. [15]
- 6 (a) Explain the challenges of the privatisation policy. [10]
- (b) Discuss the benefits of commercialisation policy to an economy. [15]
- 7 Zimbabwe should adopt a fixed exchange rate. Discuss. [25]
- 8 (a) Explain the following components of aggregate demand.
 - (i) investment
 - (ii) net exports
 - (iii) government expenditure
 [12]
- (b) Evaluate the importance of national income statistics in revealing standards of living in a country. [13]



- 9 (a) Outline the steps involved in constructing the consumer price index. [10]
(b) Discuss the effects of inflation on the functions of money in your economy. [15]
- 10 Evaluate the measures meant to address unequal distribution of **income and wealth** in your country. [25]
- 11 (a) Explain any **two** macro-economic objectives. [10]
(b) Discuss the policies meant to address exchange rate instabilities in your country. [15]
- 12 (a) Explain the effects of taxation on national income. [10]
(b) Evaluate the effectiveness of a devaluation policy in influencing economic growth. [15]

